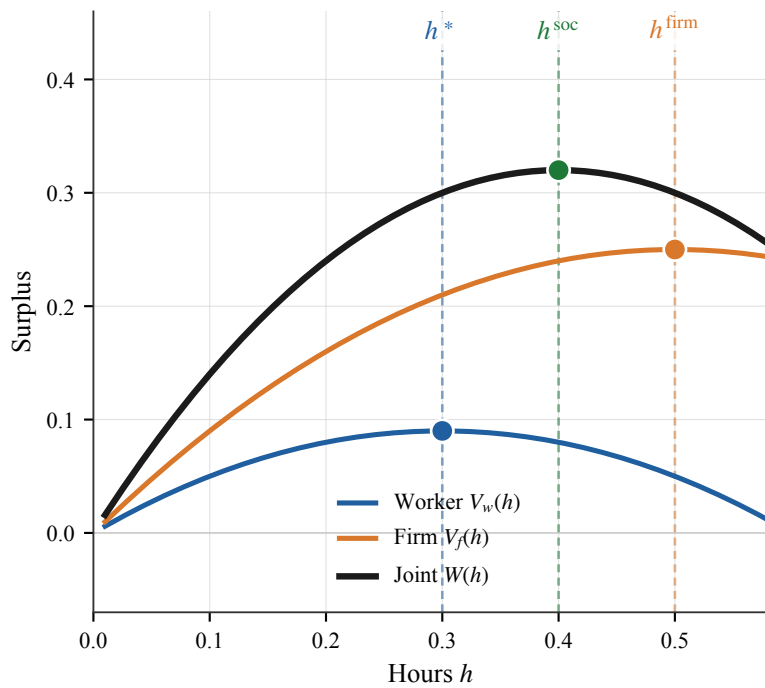
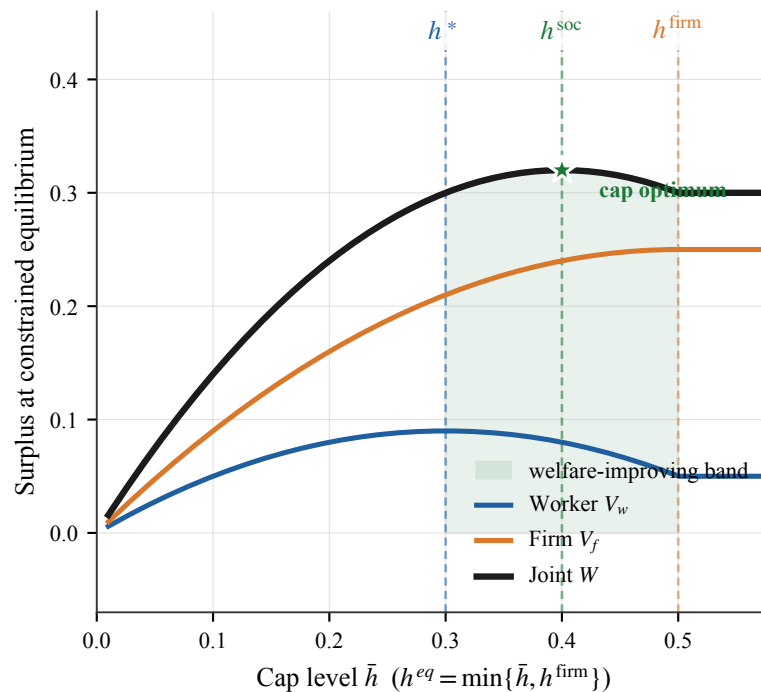


Hours cap: optimal at $\bar{h} = h^{\text{soc}}$; welfare-improving on $\bar{h} \in (2h^{\text{soc}} - h^{\text{firm}}, h^{\text{firm}})$, overshoot below

(a) Primitives and bliss points



(b) Surplus along $h^{eq}(\bar{h})$



(c) Welfare gain: improving band vs overshoot

